



Gavin Newsom, Governor
State of California
Health and Human Services Agency
DEPARTMENT OF MANAGED HEALTH CARE
980 9th Street, Suite 500
Sacramento, CA 95814
Phone: 916-324-8176 | Fax: 916-255-5241
www.DMHC.ca.gov

April 17, 2026

VIA ELECTRONIC MAIL

Lea Ann Tonkin
Cigna HealthCare of California, Inc.
400 N. Brand Blvd. Suite 400
Glendale, CA 91203

Re: Approval
Proposed Contract Termination with UCSD Medical Group
Block Transfer Filing No. 2026-PROV-95
Filed on March 5, 2026

Dear Ms. Tonkin:

The Department of Managed Health Care (Department) has reviewed the information in the above-referenced Block Transfer Filing (Filing) submitted by **Cigna HealthCare of California, Inc.]** (Plan) for compliance with the requirements of the Knox-Keene Health Care Service Plan Act of 1975, as amended (Cal. Health & Safety Code § 1340 *et seq.*) and the regulations promulgated thereunder (Cal. Code Regs., Tit. 28, § 1000 *et seq.*).

In the event of contract termination, the Filing proposes to remove **UCSD Medical Group** (Terminating Provider Group) from the Plan's provider network. The effective date of contract termination between the Terminating Provider Group and the Plan (Termination Date) is currently **July 1, 2026**.

The Plan proposes to redirect affected enrollees to the following Receiving Provider Groups:

- Mercy Physicians Medical Group, Inc.
- Regal Medical Group

Based on the Plan's representations and information provided through the review process, the Department hereby **approves** the Plan's Filing, subject to the following:

1. The Plan shall provide written notice to each affected enrollee at least sixty (60) calendar days prior to the Termination Date, subject to any waivers the Department has granted the Plan for this Filing.

Protecting the Health Care Rights of More Than 30.2 Million Californians
Contact the DMHC Help Center at 1-888-466-2219 or www.DMHC.ca.gov

2. With respect to enrollees who are approved to receive Completion of Covered Services from the Terminating Provider Group, the Plan shall ensure that the copayment, deductible, percentage coinsurance or any other cost sharing component for such care is no greater than the financial responsibility the enrollee would have had if he or she received the services from the Terminating Provider Group prior to the Termination Date. (See Cal. Health & Safety Code § 1373.96.).
3. If the Plan reaches an agreement with the Terminating Provider Group after the above enrollee transfer notices are sent, the Plan must promptly inform the Department and convey an additional enrollee notification to each affected enrollee in accordance with the requirements set forth in Cal. Code Regs., Tit. 28, § 1300.67.1.3(f).
4. In the event that the effective date of removal of the Terminating Provider Group from the Plan's network is delayed by **90** or more days, this approval shall no longer be effective, unless the Plan requests an extension of this Approval and the Department grants the Plan's request.
5. If the Plan determines that information submitted in this Filing is materially incorrect, it will promptly notify the Department. The Plan must also promptly notify the Department of any changed circumstances or new information that is material to this Filing.
6. The Department reserves the right to revoke, modify or terminate this approval at any time based upon changed circumstances or new information that is material to the filing, or for non-compliance by the Plan with any of the Conditions listed above.

Please contact me if there are any questions regarding the above.

Sincerely,



Nune Mikayelyan
Analyst II
Office of Plan Monitoring